

4-3c Shifts in the Supply Curve

Because the market supply curve is drawn holding other things constant, when one of these factors changes, the supply curve shifts. For example, suppose the price of sugar falls. Sugar is an input in the production of ice cream, so the lower price of sugar makes selling ice cream more profitable. This raises the supply of ice cream: At any given price, sellers are now willing to produce a larger quantity. As a result, the supply curve for ice cream shifts to the right.

Figure 7 illustrates shifts in supply. Any change that raises quantity supplied at every price, such as a fall in the price of sugar, shifts the supply curve to the right and is called an *increase in supply*. Any change that reduces the quantity supplied at every price shifts the supply curve to the left and is called a *decrease in supply*.

Figure 7

Shifts in the Supply Curve

Any change that raises the quantity that sellers wish to produce at any given price shifts the supply curve to the right. Any change that lowers the quantity that sellers wish to produce at any given price shifts the supply curve to the left.

There are many variables that can shift the supply curve. Let's consider the most important ones.

Input Prices

To produce their output of ice cream, sellers use various inputs: cream, sugar, flavoring, ice-cream machines, the buildings in which the ice cream is made, and the labor of workers who mix the ingredients and operate the machines. When the price of one or more of these inputs rises, producing ice cream becomes less profitable, and firms supply less ice cream. If input prices rise substantially, a firm might shut down and supply no ice cream at all. Thus, the supply of a good is negatively related to the prices of the inputs used to make the good.

Technology

The technology for turning inputs into ice cream is another determinant of supply. The invention of the mechanized ice-cream machine, for example, reduced the amount of labor necessary to make ice cream. By reducing firms’ costs, the advance in technology raised the supply of ice cream.

Expectations

The amount of ice cream a firm supplies today may depend on its expectations about the future. For example, if a firm expects the price of ice cream to rise in the future, it will put some of its current production into storage and supply less to the market today.

Number of Sellers

In addition to the preceding factors, which influence the behavior of individual sellers, market supply depends on the number of these sellers. If Ben or Jerry were to retire from the ice-cream business, the supply in the market would fall.

Summary

The supply curve shows what happens to the quantity supplied of a good when its price varies, holding constant all the other variables that influence sellers. When one of these other variables changes, the quantity supplied at each price changes, and the supply curve shifts. [Table 2](#) lists the variables that influence how much of a good producers choose to sell.

Table 2

Variables That Influence Sellers

This table lists the variables that affect how much of any good producers choose to sell. Notice the special role that the price of the good plays: A change in the good’s price represents a movement along the supply curve, whereas a change in one of the other variables shifts the supply curve.

Variable	A Change in This Variable
	...
Price of the good itself	Represents a movement along the supply curve
Input prices	Shifts the supply curve
Technology	Shifts the supply curve
Expectations	Shifts the supply curve
Number of sellers	Shifts the supply curve

Once again, to remember whether you need to shift or move along the supply curve, keep in mind that a curve shifts only when there is a change in a relevant variable that is not named on either axis. The price is on the vertical axis, so a change in price represents a movement along the supply curve. By contrast, because input prices, technology, expectations, and the number of sellers are not measured on either axis, a change in one of these variables shifts the supply curve.

QuickQuiz

7. Which of the following moves the pizza market up along a given supply curve?

- a. an increase in the price of pizza
- b. an increase in the price of root beer, a complement to pizza
- c. a decrease in the price of cheese, an input to pizza
- d. a kitchen fire that destroys a popular pizza joint

8. Which of the following shifts the supply curve for pizza to the right?

- a. an increase in the price of pizza
- b. an increase in the price of root beer, a complement to pizza
- c. a decrease in the price of cheese, an input to pizza

d. a kitchen fire that destroys a popular pizza joint

9. Movie tickets and film streaming services are substitutes. If the price of film streaming increases, what happens in the market for movie tickets?

- a. The supply curve shifts to the left.
- b. The supply curve shifts to the right.
- c. The demand curve shifts to the left.
- d. The demand curve shifts to the right.

Chapter 4: The Market Forces of Supply and Demand: 4-3c Shifts in the Supply Curve

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